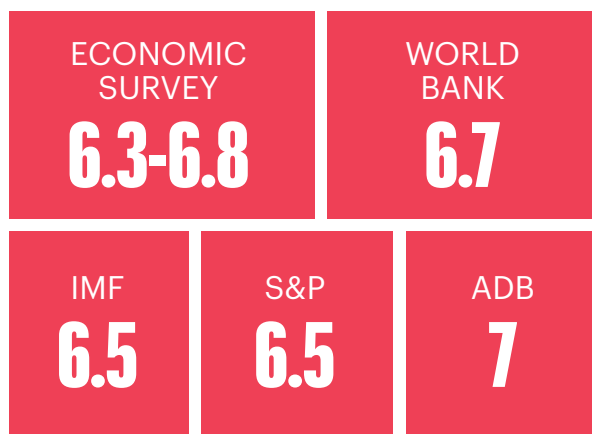


GDP GROWTH COOLS

- The Union Budget has pegged nominal GDP growth at 10.1% and the Economic Survey expects GDP growth at 6.3-6.8% in FY26
- Most agencies expect the economy to expand at less than 7% this fiscal

GROWTH PROJECTIONS FOR FY26 IN %



% CHANGE YOY



PRATIK JAIN
PARTNER,
PWC INDIA

“[The Budget] has increased certainty... with measures such as defined timelines to close assessment and allowing extended period for utilising duty-free products for manufacturing”

come to the aid of taxpayers, providing them relief on the income tax front. “No doubt, these measures will boost growth, but it will take some time,” he says.

Kuldip Kumar, Partner at Mainstay Tax Advisors, notes that the Economic Survey had clearly indicated the need to boost consumption, particularly among the urban middle class. “The Budget’s proposals of foregoing ₹1 lakh crore of revenue to increase the disposable income of taxpayers by providing tax relief, speaks of its focus in this regard. This, essentially, is expected to increase the spending power of India’s middle class and uplift household sentiment,” he said.

BOOSTING EXPORTS

A part from the headline income tax cuts, the Budget took up the theme of Make in India to push domestic manufacturing, including support to MSMEs and exports at a time when US President Trump’s Make in America thrust is gaining ground.

Along with revised criteria for classifying MSMEs and ensuring more credit to them through an enhanced credit guarantee cover, the finance minister has also announced policy and facilitation measures for labour intensive sectors as well as a focussed scheme for India’s booming leather and footwear products sector. Similarly, with the domestic toy-making sector gaining ground after numerous quality control orders that barred cheap imports, the Budget announced a National Action Plan for Toys that would make India a global hub for toys.

The government will also set up a National Manufacturing Mission covering small, medium and large industries for furthering “Make in India” with five focus areas of ease and cost of doing business; future-ready workforce for in-demand jobs; a vibrant and dynamic MSME sector; availability of technology; and quality products.

CUTTING CUSTOMS

A long with these, the FM also ensured that the promise of rationalising customs duty rates was implemented in this Budget. Experts say this will boost manufacturing and reduce dependency on imports. The changes are in keeping with the changing global trade dynamics.

“The usual narrative, which goes on saying, ‘Is India being too heavy on tariffs?’ No, you find that drastically reduced and simplified,” highlighted the finance minister at a post-Budget press conference.

The Budget has proposed removing seven tariff rates for customs duties, leaving only eight rates